

Scarcity



Resources are finite – at any point in time there is only so much wheat, coal or cement to go around. Resources can be used in myriad ways: cement could be used to build new homes or renovate factories, wheat may be processed into various foods and consumed by different people. New houses, better factories and more nutrition are all worth having, but because resources are finite, we cannot have them all: how to choose between them is a fundamental question of economics.

Economists see the problem in terms of trade-offs: competing options each have costs and benefits, but the best will be that which maximizes overall benefits over costs. The analysis of the trade-offs inherent in allocating scarce resources is the essence of modern economics: British economist Lionel Robbins described it as ‘the science which studies human behaviour as a relationship between ends and scarce means which have

alternative uses'. Economists have come to believe that the market offers a powerful way of deciding between these uses.